

Panda Retail Company

Scaling Leadership through Customer-Led Growth



Panda delivered a strong, resilient year in 2025, marked by sustained growth, sharper customer relevance and continued leadership in Saudi Arabia's grocery retail market.



Against a challenging macroeconomic backdrop and ongoing external pressures, the business maintained momentum through disciplined execution across brand, network, digital and customer engagement, reinforcing its position as the Kingdom's most chosen retailer.

Panda's market leadership was further strengthened during the year through clear gains in share and brand performance. Panda expanded its market share to 22.8%, reflecting consistent execution across formats and locations and the effectiveness of its customer-led strategy. Brand preference remained the highest in the market, supported by a clear value proposition and continuous improvements in customer experience. This translated into a meaningful uplift in customer advocacy, with Net Promoter Score rising sharply to 94, highlighting growing loyalty and trust.

Throughout the year, Panda's strategic actions enabled it to mitigate external challenges while sustaining positive trends across key performance indicators. Strong operational discipline, coupled with a clear focus on customer value, allowed the business to deliver solid financial performance and reinforce its competitive position in a demanding retail environment.

Outperforming the Market through Disciplined Execution

In 2025, Panda continued to execute a deliberate strategy centered on scale, relevance, digital transformation and profitable growth. By expanding its physical and digital presence while sharpening its customer proposition, the business reinforced its ability to compete effectively across a rapidly changing retail landscape. This integrated approach strengthened resilience, supported sustainable value creation and reinforced Panda's leadership position.

The year was marked by clear outperformance against the broader market backdrop. While the hypermarket and supermarket channel contracted by approximately 1.4% as consumers shifted toward lower-cost formats, Panda delivered sales growth of 4.9%, growing around 5 times faster than the overall FMCG market. This performance was driven by disciplined pricing, targeted promotions and a customer-led commercial strategy that responded directly to value sensitivity and changing shopping behaviors. By ensuring consistent execution across all formats and channels, Panda captured market share while preserving profitability.

Panda's strategic priorities also remained closely aligned with Savola's direction and the national objectives of Saudi Vision 2030. Ongoing investment in store expansion and digital channels supported economic diversification, job creation and local development. At the same time, the use of advanced analytics, automation and data-driven customer engagement reinforced the shift toward a more technology-enabled, knowledge-based economy. Panda continued to integrate sustainability and ESG considerations into its operations, alongside initiatives focused on local talent development and community engagement.

Together, these efforts positioned Panda as a contributor to long-term economic, social and environmental progress while strengthening its platform for continued growth.



Panda Retail Company continued

Transforming the Network, Strengthening the Core

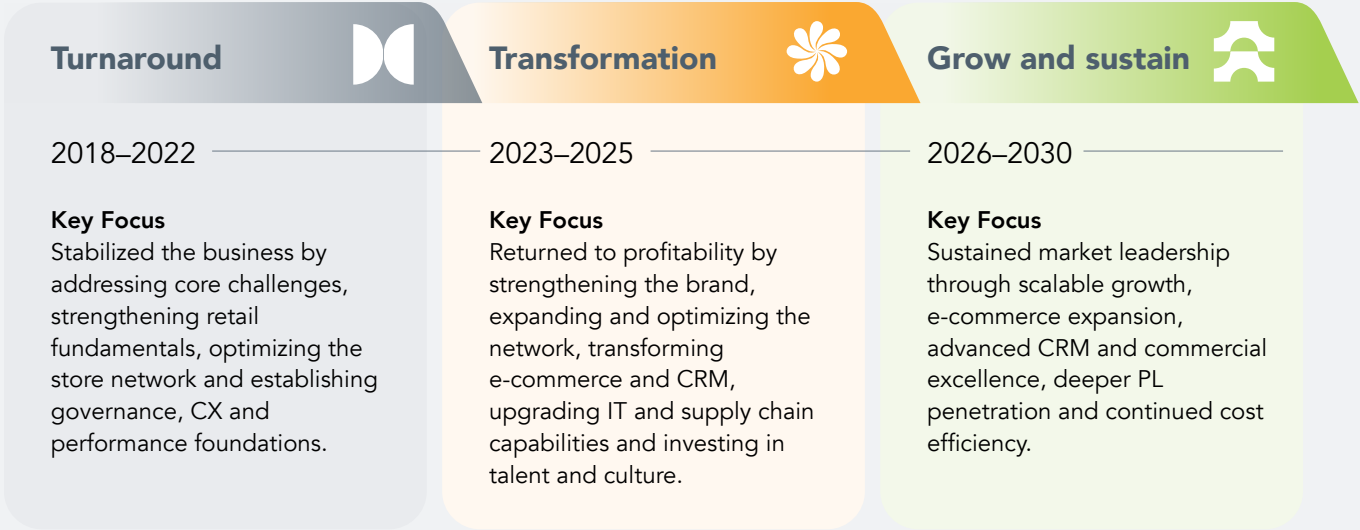
Panda’s transformation program continued to deliver tangible progress in 2025, reflecting several years of disciplined execution across network expansion, format renewal, commercial focus and operational excellence. Building on the turnaround and transformation phases, the business sustained momentum by scaling successful strategies, sharpening economics and reinforcing its role as a modern, customer-led grocery retailer. The year marked another step forward in translating strategic intent into measurable outcomes across the estate.

Network expansion and format renewal remained central to this progress. Panda accelerated store openings, adding 20 new locations in 2025 following 15 in 2024 and 7 in 2023, bringing total additions to 42 stores over 3 years. Growth was concentrated in priority cities such as Riyadh and Makkah, strengthening coverage in high-demand catchment areas. Execution has been supported by refined partnership models with SMEs, government entities and private developers,

enabling faster rollout, improved rent structures and incremental sublease income. In parallel, the CXR program continued to reshape the existing estate, with approximately 133 stores converted over the past 4 years. These upgrades delivered a more consistent customer journey and supported like-for-like growth. With only 46 non-CXR stores remaining, Panda is progressing toward a fully converted network.

Commercial performance in 2025 reflected a clear focus on core strengths. Fresh and grocery food categories delivered strong growth, reinforcing Panda’s position as a destination for everyday food essentials. At the same time, Panda applied discipline to its non-food assortment. In response to intensified competition from discounters, space was rationalized and resources redirected toward categories where Panda can compete effectively while protecting margins. This focus was complemented by continued cost discipline across the business, despite broad-based cost pressures in the Kingdom.

Economic and Market Challenges



Operational excellence initiatives underpinned the transformation and funded reinvestment. Improvements in stock loss management, markdown control, staff productivity, marketing effectiveness and insurance optimization delivered meaningful savings. These efficiencies supported continued investment in pricing, promotions and digital capabilities, reinforcing Panda’s value proposition while sustaining financial resilience. Collectively, these actions demonstrate how Panda’s transformation program is translating into a stronger, more agile and more competitive retail platform.

Powering Omnichannel Growth through Data, Technology and Engagement

Panda delivered a step-change in its digital transformation this year, evolving from a set of basic online channels into a fully integrated omnichannel platform. The year marked a structural shift in how Panda serves customers, operates at scale and uses data to drive relevance and efficiency. By combining best-in-class logistics, a rebuilt digital experience and a modern CRM and loyalty backbone, Panda strengthened its position as a leading digital grocery retailer while laying the foundation for intelligent, personalized engagement.

E-Commerce Transformation and Platform Scale

A defining milestone in 2025 was the go-live of the Ocado Smart Platform in February, representing one of the most significant digital retail transformations in the region. The platform enabled end-to-end automation across assortment, fulfillment and last-mile operations, materially improving accuracy, speed and scalability. Ocado’s backend and last-mile capabilities were fully rolled out across all stores, achieving one of the fastest ramp-ups among Ocado’s global partners. Picker productivity increased significantly, strengthening last-mile economics and service levels.

E-commerce performance accelerated sharply. Revenue grew at a triple-digit rate year-on-year, albeit from a smaller base, with higher daily order volumes, improved basket sizes, and strong delivery execution. The online assortment expanded from 6,000 to 18,000 SKUs, fulfillment rates improved to 95%, and operational KPIs compared favorably with market benchmarks for perfect orders and on-time delivery.

Active Customers Reached

9 million



App, UX and AI-driven engagement

Panda rebuilt its online app on a new modular architecture, enabling faster updates, improved stability, enhanced personalization and a significantly reduced crash rate. The redesigned experience introduced clearer service tabs, cleaner navigation, upgraded category layouts and stronger promotional visibility, resulting in a 28% uplift in conversion rates.

AI became a core enabler of engagement and efficiency. 7 AI-driven intelligent agents were introduced within the app, enabling two-way communication for customer support, recommendations and engagement. These tools improved response times, lifted satisfaction and reduced operational friction, while supporting a more interactive and responsive customer experience.

Crm, Loyalty and Data as a Growth Engine

CRM and loyalty progressed from a transactional, discount-led model to a more transformational, data-driven platform. The original Panda Plus program delivered strong acquisition and utilization but lacked differentiation, prompting a strategic redesign focused on personalization and omnichannel engagement. Active customers reached 9 million, representing 80% of transactions and enabling more relevant value delivery.

A partnership with COMARCH was signed to serve as the new loyalty and CRM backbone, covering loyalty management, campaign execution, AI-driven segmentation and a new loyalty app, while reducing total cost of ownership versus the legacy system. In parallel, MoEngage-based segmentation enabled more sophisticated lifecycle campaigns, contributing to a 35% increase in customer re-purchase rates.

Panda Retail Company continued

Data quality and targeting improved materially. More than 3 million customers were newly validated in 2025, a 115% increase versus prior years, bringing the total validated base to over 6 million customers, or 70% of active users. Over 15 million targeted communications were delivered, achieving a 5.5% conversion rate and generating ﷲ 95 million in incremental sales, including ﷲ 82 million from lapsed customers. Profile enrichment reached 1.5 million customers, representing 25% of the validated base. Early quick wins from the redesign improved data quality and loyalty benefits ahead of the full rollout, while tactical online and offline partnerships supported engagement, acquisition and incremental revenue.

Digital Operations, Efficiency and Customer Experience

Operational digitization delivered measurable efficiency gains. Smart slot management, picker productivity dashboards and near-real-time inventory synchronization reduced update cycles from 3 hours to 15 minutes. This materially lowered order cancellations, improved on-time delivery performance to above 92%, and reduced cancellation rates to below 2%. Integrated performance dashboards linked operational, commercial and supply chain data, improving inventory optimization, substitutions and delivery SLAs.

Customer experience continued to improve through tiered delivery services, including scheduled and express 60-minute options, alongside enhanced chat and support tools. These initiatives contributed to stronger NPS outcomes and reinforced Panda’s leadership in price perception, even as price sensitivity increased and competition from discounters intensified. High loyalty penetration ensured most transactions were linked to Panda Plus, enabling deeper insight and personalization.

Strategic Enablement and Monetization

Beyond core retail, Panda initiated the foundations of a retail media and data monetization platform, designed to leverage onsite and in-app traffic through targeted brand activations and data partnerships. This capability opens new revenue streams while strengthening collaboration with suppliers.

Overall, Panda’s digital transformation in 2025 focused on building scalable e-commerce infrastructure, operating with excellence and engaging customers intelligently. These capabilities position Panda as a leading player in Saudi Arabia’s online grocery ecosystem, seamlessly integrating digital strength with its nationwide physical network.

New Launches and Customer-Focused Innovation

Throughout the year, Panda introduced a series of commercial, product and platform innovations designed to deepen customer value, strengthen supplier collaboration and unlock new sources of growth. These initiatives reflect a deliberate shift toward more differentiated propositions across pricing, loyalty, private label and partner engagement, reinforcing Panda’s position as a modern, integrated retailer.

A major milestone was the evolution of the loyalty proposition. Membership exceeded 14 million customers, supported by the launch of a new cash-back model that allows customers to accumulate and redeem value through a digital wallet across both online and in-store channels. This omnichannel approach strengthened retention, increased engagement and enhanced the relevance of personalized pricing and promotions. In parallel, Panda introduced AI-driven pricing capabilities through Revionics, enabling dynamic price optimization that balances competitiveness with

margin and revenue objectives. Product innovation and sourcing also gained momentum. Panda continued investing in localized sourcing and vertical integration within fresh food categories, including bakery, produce and proteins. These initiatives improved quality, availability and cost control while reinforcing Panda’s everyday value proposition. Private label expansion accelerated during the year, with successful launches across multiple new categories. Private label revenue grew by 26% year-on-year, alongside a 19% increase in contribution, highlighting growing customer acceptance and the strategic role of owned brands in driving differentiation and profitability.

On the ecosystem side, Panda launched Panda CUBE, a dedicated partners portal designed to strengthen collaboration with suppliers. The platform provides a centralized environment for data sharing, performance tracking and joint business planning, supporting more transparent and productive supplier relationships. This focus on partnership excellence was reinforced by external recognition, with Panda awarded the #1 retailer by Advantage Group’s Voice of the Supplier, reflecting strong supplier engagement and relationship management. Together, these launches expanded Panda’s growth levers while strengthening alignment across customers, suppliers and the wider value chain.



Panda in 2026

In the year ahead, Panda will focus on reinforcing its market leadership and strengthening the quality and sustainability of earnings. The priority is to deliver profitable growth by sharpening the value proposition, expanding the network in high-potential locations with a continued focus on Riyadh, accelerating e-commerce through targeted technology investment and logistics optimization, expanding and accelerating multi-year strategy for private label offering and execution and further capturing new income streams through ancillary opportunities connected with its footprint and data. These actions are designed to extend Panda’s competitive edge while supporting disciplined, long-term growth.

Customer engagement will deepen through the rollout of a more customer-centric CRM strategy, enabling richer personalization and stronger loyalty across channels. At the same time, commercial excellence initiatives will be scaled to enhance performance across the value chain. This includes greater vertical integration in fresh foods, more precise pricing and promotional execution and expanded private label penetration to support margin improvement and differentiation.

Operationally, Panda will continue evolving toward a future-fit model built on agility, digital integration and resilience. A strong emphasis will remain on building a high-performing culture that values innovation, collaboration and continuous improvement. Sustainability and cost efficiency will remain core priorities throughout the year, ensuring Panda continues to compete effectively while building a robust, resilient and customer-focused business for the long term.



Delivery Performance
92%



Membership Exceeded
14MN



Revenue Growth
26%

